

and an opportunity to be heard. (*J.W. v. Watchtower Bible & Tract Society of New York, Inc.* (2018) 29 Cal.App.5th 1142, 1166-1171.) The Court also must consider whether the party's actions were willful, the detriment to the party seeking discovery, and the number of formal and informal unsuccessful attempts to obtain discovery. (*Moofly Prods. LLC v. Favila* (2020) 46 Cal.App.5th 1, 10-12.)

Where a party seeks an issue sanction, particularly "sweeping evidentiary conclusions that were at the heart of [plaintiff's] theory of [defendant's] liability," the Court must consider lesser sanctions. (*Rutledge v. Hewlett-Packard Co.* (2015) 238 Cal.App.4th 1164, 1194. See also *Lopez v. Watchtower Bible & Tract society of New York, Inc.* (2016) 246 Cal.App.4th 566, 604.)

Conclusion

Taylor Morrison has not made full use of the Special Master's or the Court's authority to take intermediate steps to secure timely discovery compliance. Eventually, Taylor Morrison did ask for evidentiary sanctions, which the Special Master properly found would be akin to a terminating sanction, which ought to be entered by the trial judge. But the issue should be addressed by beginning with an order to compel compliance, graduating to monetary sanctions, and then imposing deadlines with the specific threat of evidentiary or terminating sanctions. In considering the prejudice to Taylor Morrison of plaintiff's failure to comply, it appears that there is more frustration than actual prejudice. As to willfulness, it appears that plaintiffs have at the very least failed to take discovery deadlines seriously. All factors considered, however, to enter a terminating sanction as the first sanction would not be appropriate.

In the alternative, Taylor Morrison seeks an order "precluding Plaintiffs from testifying at trial, and a further order precluding Plaintiffs from calling Todd Page as a witness at trial." Precluding plaintiffs from testifying would not even be tied to the foot-dragging in question. Precluding Mr. Page as a witness apparently would be severe, although neither party has provided in this record the nature and importance of his testimony. It appears that his testimony would be essential.

It does not appear that Taylor Morrison has earlier requested monetary sanctions, nor does it request them in this motion.

The motion is denied.

14. 9:00 AM CASE NUMBER: MSC21-00624

CASE NAME: COLEMAN VS YDESIGN GROUP, LLC

HEARING IN RE: COMPLIANCE

FILED BY:

TENTATIVE RULING:

Continued by stipulation and order to December 4, 2025, 9:00 a.m.

15. 9:00 AM CASE NUMBER: MSC21-01344

CASE NAME: GONZALEZ VS AMTRUST NORTH AMERICA, ET AL.

***HEARING ON MOTION IN RE: FINAL APPROVAL SET BY THE COURTROOM**

FILED BY:

TENTATIVE RULING:

Plaintiff Rosana Gonzalez moves for final approval of her class action settlement with defendants AmTrust Financial Services, Inc., and AmTrust North America, Inc. The action alleges various Labor Code wage & hour violations. The action does not include a claim under PAGA.

The Court previously heard this matter on March 13, 2025, and concluded that that a supplemental declaration was necessary to establish (1) case-specific evaluation of the strengths and weaknesses of the case; (2) that the possible invocation of the “escalator clause” will not be unfair to employees whose compensable time will be reduced or eliminated by its terms; and (3) that CASA of Contra Costa County meets the criteria of Code of Civil Procedure section 384.

Counsel for plaintiff filed a supplemental declaration responding to the Court’s request. The declaration sets forth a detailed analysis of the strengths of the case, including quantitative estimates of the value of the claims. As to the escalator clause, it explains the function and value of the clause. As to the cy pres issues, the record now addresses the requirements of Code of Civil Procedure section 384. Accordingly, on May 1, 2025, the Court granted preliminary approval.

A. Background and Settlement Terms

The original complaint was filed on June 30, 2021, raising class action claims on behalf of non-exempt employees, alleging that defendants violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation.

The settlement would create a gross settlement fund of \$2,500,000. The class representative payment to the plaintiffs would be up to \$12,000. Attorney’s fees would be up to \$875,000 (35% of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator’s costs (Phoenix Class Action Administration Solutions) would not exceed \$13,000. The net amount paid directly to the class members would be about \$1,580,000. The fund is non-reversionary. Based on the estimated class size of 760 individuals, the average net payment for each class member is approximately \$2,079.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants in California during the class period, which is June 30, 2017 through June 8, 2023.

The agreement also includes an escalator clause, under which if the number of workweeks exceed 72,000 by more than 5%, defendant may either increase the payments or shorten the Class Period to reduce the claims that must be paid. The provision involves something of a tradeoff—it may result in payments increasing, or it may result in some claims being excluded from the settlement. If the claims period is reduced, those claims removed from the settlement are no longer released from further claims by employees. The Court still has some qualms about whether, as a practical matter, anyone likely will be able to pursue such “unreleased” claims. Nonetheless, at least in this case, the Court does not view it as a barrier to approval.

The class members will not be required to file a claim. Class members may object or opt out of the settlement.

Various prescribed follow-up steps were prescribed to be taken with respect to mail that is returned as undeliverable. Since preliminary approval, the settlement administrator mailed notice to

the 766 individuals comprising the class. No notices were returned as undeliverable, thus no follow-up was necessary. No notices of objection and no requests for exclusion were received by the deadline.

Checks undelivered or uncashed 180 days after mailing will be voided, and will be paid to tendered to the CASA of Contra Costa County. Pursuant to Code of Civil Procedure section 384, counsel attests that CASA of Contra Costa County is a nonprofit organization that provides services in Juvenile Court in this county. The supplemental declaration of counsel now describes the activities of the organization in sufficient detail to establish that it is a “child advocacy program” within the meaning of the code provision. Pursuant to Code of Civil Procedure section 382.4, counsel attests that that there is no connection between Casa of Contra Costa County and counsel that could create the appearance of impropriety.

The settlement contains release language covering “all claims stated under state, federal, or local law...alleged in the operative complaint or which could have been alleged based on the factual allegations in the operative Complaint[.]” Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal and formal written discovery was undertaken, and counsel had the information evaluated by outside experts. The matter settled after arms-length negotiations, which included a session with an experienced mediator. As part of the preliminary approval process, plaintiff provided sufficient analysis of the potential value of the cases, and the risks of proceeding.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks 35% of the total settlement amount as fees (\$875,000), relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award was not considered at preliminary approval, but only as part of final approval. Counsel submits an estimate that 375.40 hours of attorney time were spent on the case, and applies a blended rate of \$850 per hour, for a total lodestar fee of \$319,090. This results in an imputed multiplier of 2.3. Even this assumes that the blended hourly rate of \$850 is reasonable. For a blended rate, it appears to be somewhat high. Thus, some form of adjustment is appropriate. The Court notes that the percentage of the fund base here is 35%, rather than the more typical one-third. Under the circumstances of this case, one-third is a reasonable figure. Accordingly, the Court reduces the fee to one-third of the gross settlement fund, i.e. \$833,333.33. The difference shall be part of the Net Settlement Fund.

Litigation costs of \$17,132.99 are reasonable and are approved.

Settlement administration costs of \$12,000 are reasonable and are approved.

Similarly, litigation costs and the requested representative payment of \$12,000 for plaintiff will be reviewed under criteria discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Ms. Gonzales attests that she has spent roughly 14 hours working on the case, which is less than typical in this type of case. The overall size of the recovery is relatively large. Ms. Gonzales gave a general release broader than that of the class, although she does not indicate that she gave up any claims of actual value. Considering all of these factors, the Court reduces the representative payment to \$10,000. The difference shall be part of the Net Settlement Fund.

D. Conclusion

Based on the entire record, with the changes to the attorney fee and the representative payment, the Court finds that the settlement is fair, reasonable, and adequate. The **motion for final approval is granted**.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court including amendment of the judgment to reflect the funds paid to the cy pres recipient pursuant to Code of Civil Procedure section 384.

16. 9:00 AM CASE NUMBER: MSC21-01549
CASE NAME: HALATOA VS DIABLO COUNTRY CLUB
*HEARING ON MOTION IN RE: PRELIMINARY APPROVAL AND PAGA SETTLEMENT